

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents*.

DOCKET NO. 24-17

Served: November 18, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER PARTIALLY GRANTING MOTION TO DISMISS¹

I. Background

On May 13, 2024, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“OOCL”) filed a motion to dismiss the complaint, arguing that Complainant Samsung Electronics America, Inc.’s (“SEA”) claims are essentially allegations that OOCL did not adhere to the terms of the bills of lading, and that as consignee on those bills of lading, SEA’s remedy is to file a claim in federal court as the Commission lacks jurisdiction over such breach of contract claims. OOCL also argued that the various counts of the complaint fail to state a claim, and that SEA’s failure to specify an amount for its reparations claim warrants dismissal. After jointly requesting an extension of time, which was granted, SEA filed an opposition on June 14, 2024 and OOCL filed a reply on June 28, 2024.

For the reasons discussed below, the motion is GRANTED with respect to Counts II and III, and DENIED with respect to the remaining counts.

II. Discussion

A. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure (“FRCP”) will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12.

¹ This order granting dismissal will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

Respondents' motion is premised on the argument that the Commission lacks jurisdiction to adjudicate Complainant's claims, which are claims for breach of service contracts. Mot. to Dismiss, p. 5. The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041, at *4 (FMC Oct. 29, 2020). Under FRCP 12(b)(1), there are two types of jurisdictional attacks: (1) a factual attack, which challenges the existence of subject matter jurisdiction using material extrinsic from the pleadings, such as affidavits or testimony; and (2) a facial attack, in which a respondent's challenge is confined to whether the complainant has sufficiently alleged a basis of subject matter jurisdiction. *Stalley ex rel. United States v. Orlando Reg'l Healthcare Sys., Inc.*, 524 F.3d 1229, 1232-33 (11th Cir. 2008); *see also Osborn v. United States*, 918 F.2d 724, 729-730 (8th Cir. 1990).

Where, as here, a respondent challenges the sufficiency of the allegations regarding subject matter jurisdiction—a facial challenge—a court will employ the *Twombly-Iqbal* “plausibility” standard, which is the same standard used to evaluate facial challenges to claims under FRCP 12(b)(6). *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021). Under this plausibility standard, the Commission will dismiss a claim if the complainant fails to plead “enough facts to state a claim for relief that is plausible on its face.” *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and “technical or scientific facts within the general knowledge of the Commission”). *Id.* at *41 n.1 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint's factual allegations must be more than speculative, and must “nudge claims across the line from conceivable to plausible.” *Id.* at *12 (quoting *Elemary v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.*

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a formulaic recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Count I: Claims alleging unreasonable practices under 46 U.S.C. § 41102(c)

OOCL first argues that SEA's claims under 46 U.S.C. § 41102(c) are based on the bills of lading for ocean transportation issued by OOCL and are therefore claims for breach of contract over which the federal courts, and not the Commission, exercise exclusive jurisdiction. Mot. to Dismiss, p. 7-8. OOCL cites *Norfolk Southern R. Co. v. James N. Kirby Pty, Ltd.*, among other cases, for the proposition that a bill of lading for ocean carriage is a maritime contract and that authority to interpret such contracts stems from the Constitution's grant of admiralty jurisdiction to the federal courts. 543 U.S. 14, 24-25 (2004).

While the federal courts undoubtedly have jurisdiction over a claim for breach of a maritime contract, the jurisdictional question here does not turn on whether SEA could obtain relief in federal court on a breach of contract theory for violations of the terms of the bills of lading, but whether it has stated a cognizable claim under the Shipping Act. The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission *must* address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, where related proceedings regarding those claims are underway, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7. The Commission set forth the standard for determining whether a complaint is inherently a contract claim or sufficiently alleges a Shipping Act cause of action in *Cargo One*:

However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, Inc., 2000 WL 1648961, at *14.

Although *Cargo One* arose in the context of an alleged violation of a service contract, the reasoning is equally applicable to this case. The question is whether SEA’s allegations are inherently a breach of contract claim premised on OOCL’s failure to comply with the terms of the bills of lading, or whether they also involve elements peculiar to the Shipping Act. SEA does allege in the complaint that OOCL “fail[ed] to properly perform its obligations for inland transportation to the inland destinations.” Compl., ¶ 19. And if that was the extent of SEA’s complaint, then OOCL’s argument that this is essentially a breach of contract action might prevail. But the allegations about OOCL’s responsibility for inland transportation appear to be background to the Shipping Act allegations, which are that, “beginning in 2021, OOCL instituted various unreasonable demurrage and detention practices against SEA,” as a result of which “SEA has been forced to pay excessive and unlawful OOCL demurrage and detention charges.” Compl., ¶¶ 20-21. These alleged practices include not only charging unreasonable demurrage and detention charges, but also threatening refusal to release unrelated containers if the allegedly unreasonable charges are not paid, actually refusing to release the unrelated containers, failing to provide adequate information to determine the basis for individual charges, failing to take into account the circumstances giving rise to the charges, rebilling SEA for previously paid charges, failing to take steps to address known delays, failing to have or engage in an adequate dispute resolution process, and failure to provide reasonable opportunity to return empty containers and chassis. Compl., ¶¶ 46-50. That these allegations arise in the context of a service contract, bill of lading, or other agreement is not, by itself, dispositive – all ocean freight is transported pursuant to some agreement. *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 321 (FMC Aug. 2, 1962). The existence of an agreement, and a potential cause of action arising out of that agreement, does not deprive the Commission of jurisdiction to determine the reasonableness of OOCL’s practices with respect to the detention and demurrage charges, billing and dispute-resolution practices, and container and chassis handling described in the complaint.

OOCL next argues that SEA has not alleged a “practice” sufficient to state a claim under 46 U.S.C. §41102(c) because “[a]lthough the Complaint alleges a large number of shipments and even larger number of charges . . . SEA does not link any of those shipments/charges to any specific practice.” Mot. to Dismiss, p. 20. OOCL further argues that SEA did not allege that the practices were generally applicable to other customers. *Id.*

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. The element at issue here is (b), whether OOCL's alleged actions were occurring on a normal, customary, and continuous basis. That is, whether they were a "practice" pursuant to 46 U.S.C. § 41102(c).

In the notice of proposed rulemaking for the interpretive rule, the Commission explained the intended construction of the word "practice" in 46 U.S.C. § 41102(c):

It is this line of recent cases determining that a discrete failure to observe and enforce an established just and reasonable regulation or practice that the Commission seeks to reform in this rulemaking so as to return the scope of § 41102(c) to its proper role and purpose within the Shipping Act. In the future, the Commission intends to follow the reasoning in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Deringer*, and *Kamara* which offer precedent as to what properly applies the full meaning and purpose of "establish, observe, and enforce just and reasonable regulations and practices" under the Shipping Act and a violation of § 41102(c).

Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 43569-43570 (Sep. 8, 2018) ("NPRM"); *see also, generally*, Final Rule, 83 Fed. Reg. 64478 (adopting reasoning of NPRM and citing the same cases).

The cases cited by the Commission in the NPRM do not support OOCL's argument that complainants are required, in a case involving thousands of shipments, to explicitly link each allegedly unreasonable practice to each shipment to plead a "practice" for purposes of 46 U.S.C. § 41102(c). *Intercoastal Investigation* describes a practice as "an often repeated and customary action." *Intercoastal Investigation*, 1935, 1 U.S.M.C. 400, 432 (1935). In *Altieri*, the presiding officer found that, although respondent's withholding of money owed to complainant to offset a disputed claim of respondent against complainant was clearly unlawful, it was "an isolated or 'one shot' occurrence," and therefore not a "practice" within the meaning of the Shipping Act. *Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-420 (Oct. 18, 1962). In *Stockton Elevators*, the Commission described a "practice" as "something habitually performed and it implies continuity . . . the usual course of conduct. It is not an occasional transaction" *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964). In *European Trade Specialists*, the allegation was that the freight forwarder had failed to notify the shipper of the dispute as to the applicable tariff rate for their commodities. The ALJ found that the freight forwarder's normal practice was to notify shippers of such disputes, that they had reached out to complainant for additional information regarding the classification of their shipment, and even if they had not, the failure to do so was a single incident, and so not a "practice," but went on to observe that even if they had not, that there would be no violation. *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1,

1977) (*affirmed European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979)). In *A.N. Deringer*, the respondent's failure to specify the number of cartons on the bill of lading, which resulted in limitation of liability to loss for one carton rather than the 12 that were actually lost, was "an isolated error." The settlement officer noted that "an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity," requiring proof of failure to enforce reasonable regulations and practices. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, Docket No. 1652(I), 25 S.R.R. 1273, 1276, 1990 WL 427469, at *4 (SO Nov. 14, 1990). In *Kamara*, the settlement officer held that a carrier's failure to remit payment to a subcontracting carrier did not constitute a Shipping Act violation, although the shipper would have a contractual claim, since Section 10(d)(1) was not intended to cover "an isolated error or understandable misfortune," but rather a "pattern of behavior." *Kamara v. Honesty Shipping Service*, Docket No. 1841(I), 29 S.R.R. 321, 322 n.8, 2001 WL 898739, at *2 n.8 (SO July 26, 2001). The requirement described in these cases is to plead sufficient facts to show a pattern of behavior, rather than an isolated error, occasional transaction, or one-shot occurrence. By pleading that the alleged practices occurred over several years and with respect to thousands of shipments, SEA has met that burden. *See Compl.*, ¶¶ 20-21, 32, 46-50, 58.

Nor do the cases OOCL cites support a requirement that a complainant plead specific instances of the allegedly unreasonable practices applied to other shippers – information that may be uniquely within the control of the carrier. *European Shippers* does not state that there is any such pleading requirement, instead observing that the record established only a single isolated incident of the allegedly unreasonable conduct:

The record demonstrates that it is the "practice" of Hipage to notify shippers of problems arising over their shipments. Thus what we have here is not a question of the establishment of a just or unjust practice but an allegation of a single departure from a practice which I am sure complainants would characterize as just and reasonable.

European Trade Specialists, 17 S.R.R. at 1365. *Whitam* is similarly unhelpful to OOCL's position since the plaintiff in that case was not even pleading a "practice;" instead, defendant attempted to recharacterize the complaint as one alleging a practice so that exclusive jurisdiction would rest with the Interstate Commerce Commission (under a statutory provision similar to § 41102(c)):

That plaintiff complains expressly of 'a practice' of the railroads is not found in his pleadings. The motion to dismiss can introduce no question of fact, but only can raise such questions as can be raised from the face of plaintiff's petition. We are bound by the facts set out in that petition. In effect, defendants say the plaintiff's petition is complaining of the practice of the carriers, any regulation or decision as to which they claim is purely administrative, and therefore, primarily for the [Interstate Commerce] Commission. Does plaintiff's petition construed as a whole, charge the railroads with 'a practice' such as comes within the meaning of 'practice' as used in the quoted decision? I do not think it does. As such, plaintiff does not complain of the rate whatsoever. Nor, as heretofore stated, does he in any sense complain of the rule. The word 'a practice' as used in the decision, or used anywhere properly, implies systematic doing of the acts complained of, and usually as applied to carriers and shippers generally. It

appears to me that this question, or like questions, must be decided by the peculiar facts or alleged facts of each case. Plaintiff's contention is, he was cheated in the over weights, not that the applied rates were in any way improper. And, as far as the petition goes, he makes it an individual matter between himself and the defendants. He does not make it a practice even between them.

Whitam v. Chicago, R. I. & P. Ry. Co., 66 F. Supp. 1014, 1017 (N.D. Tex. 1946). That the court opined, in the context of the counterfactual it was considering, that a “practice” implies an act “usually” (not necessarily always) applied to “shippers generally,” does not establish a pleading requirement for Shipping Act cases.

Even if there were a requirement to plead that a carrier’s alleged practice was applied to other shippers, SEA has done so by reference to the “unreasonable detention and demurrage practices” in two other cases pending before the Commission. Compl., ¶ 26. In Docket No. 23-02, the complainant alleged that, during the same time period at issue in this complaint, OOCL charged the complainant detention and demurrage charges when the circumstances giving rise to the charges were outside the control of the complainant, OOCL failed to mitigate the charges despite acknowledging these circumstances, and refused to move containers until all outstanding detention and demurrage charges were cleared. *Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, Docket No. 23-02, Verified 1st Am. Compl., pp. 22-28. And in Docket No. 24-08, the complainant similarly alleged that during 2021 and 2022, OOCL charged detention and demurrage under circumstances where the charges did not incentivize movement of cargo, refused to increase the number of free days even when circumstances were outside the complainant’s control, continued to accept shipments when it knew it could not provide adequate facilities, charged detention and demurrage for its own failures, and did not provide sufficiently clear invoices to allow the complainant to understand or contest the charges. *TZ SSE Buyer, LLC v. Overseas Container Line Limited*, Docket No. 24-08, Verified 2d Am. Compl., pp. 5-7.

Accepting the facts pleaded by SEA as true, OOCL unilaterally recharacterized certain shipments, then used that recharacterization as a justification for charging SEA detention and demurrage where SEA had no control over the movement of the cargo, and when challenged, refused to provide information or engage in reasonable dispute resolution. They did this over a period of two years and, it can be reasonably inferred from the complaint, with respect to some or all of the thousands of SEA shipments during that time period. Compl. ¶¶ 19-21, 46-50. The complaint does not describe an “isolated occurrence,” “occasional transaction,” or an “isolated error or understandable misfortune,” but a conscious choice consistently applied or, in other words, a practice. *Altieri*, 7 F.M.C. at 419-420, *Stockton Elevators 3 S.R.R.* at 618, *Kamara*, 2001 WL 898739, at *2 n.8.

C. Count II: Retaliation under 46 U.S.C. §§ 41102(d) and 41104(a)(3)

OOCL argues that Count II should be dismissed because SEA is not a “shipper” as defined by the Act, and so is not protected by its anti-retaliation provisions, and because SEA did not bring OOCL’s actions to the attention of the Commission, and therefore did not engage in protected activity. Mot. to Dismiss, pp. 20-21. SEA counters that “shipper” is defined broadly to include not only the party to the service contract, but also the consignee to whom the delivery is

made, and that threatening to bring a complaint to the Commission is protected activity that triggers the anti-retaliation provisions of the Shipping Act. Opp’n to Mot. to Dismiss, pp. 15-17.

Prior to June 16, 2022, 46 U.S.C. § 41104(a)(3) provided that “a common carrier, either alone or in conjunction with any other person, directly or indirectly, may not... retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(a). The Ocean Shipping Reform Act of 2022 (“OSRA 2022”) amended the Shipping Act’s retaliation provisions by expanding its reach to marine terminal operators and ocean transportation intermediaries and adding the prohibition against retaliation to 46 U.S.C. § 41102 as a new subsection (d). OSRA 2022, Pub. L. 117-146, June 16, 2022, 136 Stat 1272 §§ 5, 7. As amended by OSRA 2022, 46 U.S.C. § 41102(d) reads as follows:

(d) Retaliation and Other Discriminatory Actions. -A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not--

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for--

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d).

The Commission has clarified that “shipper” is defined broadly for purposes of retaliation:

Unless amended by Congress, § 41104(a)(3) applies only to prohibited conduct directed at a “shipper.” But this term protects entities other than just the cargo owner. The term “shipper” means a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers' association, or a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract. In contrast, passengers on a vessel, unless they otherwise fall within the definition of shipper, are not protected entities under § 41104(a)(3).

Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *4, (FMC Dec 28, 2021). This definition of “shipper” encompasses SEA, the consignee to whom delivery was made.

Having established that SEA is a protected entity under the Shipping Act’s retaliation provision, SEA must also allege sufficient facts to show that it engaged in protected activity (“filed a complaint” or “any other reason”) and that, because of this protected activity, OOCL refused or threatened to refuse available cargo-space accommodation (or engaged in “any other unfair or unjustly discriminatory action”). The Commission has explained that the “for any other reason” language includes other ways a shipper might bring unlawful activity to the Commission’s attention:

Section 41104(a)(3) contains two types of shipper activity that are specifically protected: patronizing another carrier and filing a complaint. Filing a complaint refers to filing a sworn complaint alleging a violation under 46 U.S.C. § 41301(a). The statute also, however, protects shippers from being retaliated against “for any other reason.” The Commission interprets “any other reason” to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures. This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission. Further, providing information to Commission investigators and enforcement attorneys, seeking assistance from CADRS, and commenting on Commission rules and notices fall within same class of conduct as filing a complaint.

Id., 3 F.M.C.2d at 207, 2021 WL 9204128, at *5.

OOCL argues that SEA has failed to allege any protected activity, while SEA contends that it threatened to file a complaint with the Commission, and that such threats constitute protected activity. Opp’n to Mot. to Dismiss, pp. 16-17. In *OJ Commerce*, the ALJ found that threats to file a complaint with the Commission, while not expressly included in the Commission’s statement on retaliation, were part of the category encompassed in “any other reason”:

That this “any other reason” language may also apply to other conduct - such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’s dispute resolution procedures - does not mean that “any other reason” may not also apply to threats to file an FMC complaint. . .

Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if “threats” to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision. Moreover, just because a party threatens to file a complaint does not mean that the complaint is valid or would be successful. It

simply advises the carrier that the shipper believes there may be a violation so that the carrier can ensure that their conduct conforms to the requirements of the Shipping Act. As long as carriers have a legitimate, transportation-related basis for their decisions and comply with the requirements of the Shipping Act, they will not face liability. Moreover, including “threats” to file a complaint as an “any other reason” is consistent with the Commission's statement that this section should be read broadly. Therefore, a threat to file a Commission complaint constitutes “for any other reason” in the anti-retaliation provision.

For the reasons discussed above, OJC's threat to file a complaint with the Commission establishes that OJC engaged in protected activity and this element is met. Therefore, all four factors are met. OJC has established that common carrier HSDG retaliated against shipper OJC by refusing cargo space accommodations when available or resorting to other unfair or unjustly discriminatory methods because OJC had filed a complaint or for any other reason, which includes the threat to file a Commission proceeding. 46 U.S.C. § 41104(a)(3). The next issue is what reparations, commonly referred to as damages, are appropriate.

OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *39 (ALJ June 7, 2023). The Commissions has since affirmed the ALJ's holding. *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Docket No. 21-11, 2024 WL 4034610 (FMC Aug. 27, 2024).

Even though SEA is correct that a threat to file a complaint with the Commission constitutes protected activity, there is no allegation of such a threat anywhere in the complaint. The complaint speaks only to a demand letter alleging unspecified “unlawful charges,” and which “invited OOCL to respond in a substantive manner, and asked that OOCL indicate its interest in discussing cooperative resolution.” Compl. ¶ 51. That a complaint was ultimately filed is not sufficient for me to reasonably infer that the demand letter included a threat to file, as SEA urges. Opp'n to Mot. to Dismiss, p. 17; *see 20230930-DK-BUTTERFLY-I, Inc., v. MSC Mediterranean Shipping Co. SA*, Docket No. 23-12, 2024 WL 1299768, at *5 (ALJ March 25, 2024) (“Even if a threat to file a complaint with the Commission constitutes “any other reason,” the complaint *sub judice* does not plead facts that demonstrate that [complainant] threatened to file a complaint, or engage in any way, with the Commission.”). And while the demand letter does mention “unlawful charges,” the mere mention of unspecified unlawful activity is not sufficient factual material from which to infer that SEA expressed an intention to engage with the Commission to resolve a dispute or raised a specific issue under the Shipping Act, such that the protections of the anti-retaliation provision would be necessary to encourage early discussion and resolution of alleged violations.

Even if SEA's allegations of protected activity were sufficient, it has failed to plead any retaliatory activity with respect to vessel-space accommodation or otherwise. SEA points to paragraph 68 of the Complaint, which merely incorporates the language of § 41102(d):

68. In response to Complainant's efforts to address OOCL's shipping and charging practices, resolve disputes, and dispute invoices, OOCL threatened to

retaliate, and in fact did retaliate, against Complainant and SEA Containers with respect to delivery of cargo and refusing available cargo space accommodation.

Compl., ¶ 68. The Complaint does not state any particulars about who made the threats or what they were, how the retaliation was carried out, when it occurred (before or after the demand letter), or any other information from which to plausibly infer retaliation. It is simply a legal conclusion that there was retaliation. SEA's argument that ¶¶ 41-47 of the Complaint describe the retaliatory actions is unpersuasive because a reasonable reading of the Complaint (that is, a chronological reading) is that the actions described in those paragraphs led to the demand letter described later in ¶ 51, not that they were the result of the demand letter. Following ¶ 51, there is no further factual allegation of any illegal activity on the part of OOCL – the Complaint only states that the parties were unable to make progress towards a resolution and that SEA incurred “serious and substantial injuries and monetary damages.” Compl., ¶¶ 52-53. Without more specific information about the dates of OOCL's allegedly unlawful activity, and with only a conclusory statement that retaliation occurred, I find that Count II does not plausibly establish a claim for retaliation.

D. Count III: Refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10)

OOCL argues that Count III fails to state a claim since failure to accept a settlement demand does not constitute a refusal to deal and the Complaint fails to plausibly allege anything more than OOCL's refusal to cave to SEA's demands. Mot. to Dismiss, pp. 23-24. SEA argues that it has laid out the required elements of the claim – that OOCL is an ocean common carrier, that OOCL refused to deal or negotiate with respect to vessel space accommodations, and that the refusal was unreasonable. Opp'n to Mot. to Dismiss, p. 18. The statute provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10).

In its final rule (which took effect on July 23, 2024), the Commission explained the factors to be considered in determining reasonableness and the elements of a claim under § 41104(a)(10):

(f) Elements for claims. The following elements are necessary to establish a successful private party or enforcement claim under 46 U.S.C. 41104(a)(10) with respect to refusals of cargo space accommodations provided by an ocean common carrier:

(1) The respondent must be an ocean common carrier as defined in 46 U.S.C. 40102;

(2) The respondent refuses or refused to deal or negotiate with respect to vessel space accommodations; and

(3) The ocean common carrier's conduct is unreasonable.

(g) Non-binding considerations when evaluating unreasonable conduct. In evaluating the reasonableness of an ocean common carrier's refusal to deal or negotiate with respect to vessel space accommodations, the Commission may consider the following factors:

- (1) Whether the ocean common carrier followed a documented export policy that enables the timely and efficient movement of export cargo;
- (2) Whether the ocean common carrier engaged in good faith negotiations;
- (3) Whether the refusal was based on legitimate transportation factors; and
- (4) Any other relevant factors or conduct.

(h) Non-binding examples of unreasonable conduct. The following are examples of the kinds of conduct that may be considered unreasonable under 46 U.S.C. 41104(a)(10) when linked to a refusal to deal or negotiate:

- (1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or
- (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.

Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, 89 F.R. 59648 (Final Rule July 23, 2024) (the “Final Rule”).

SEA’s complaint fails to allege any facts supporting the second or third elements of the claim, that OOCL unreasonably refused to deal or negotiate with respect to vessel space accommodations. SEA argues that Complaint ¶¶ 68 and 73 provide sufficient factual material to establish these elements. Opp’n to Mot. to Dismiss, p. 18. But the allegations in ¶ 68 are the classic “labels, conclusions, or a recitation of the elements” that do not satisfy the *Iqbal-Twombly* pleading standard:

68. In response to Complainant’s efforts to address OOCL’s shipping and charging practices, resolve disputes, and dispute invoices, OOCL threatened to retaliate, and in fact did retaliate, against Complainant and SEA Containers with respect to delivery of cargo and refusing available cargo space accommodation.

Compl., ¶ 68; *Maier Terminals*, 2015 WL 9426189, at *12. And ¶ 73 has nothing to do with vessel-space accommodation, but specifically relates to the detention and demurrage practices in Section V of the Complaint:

73. In response to Complainant’s efforts to: (a) address OOCL’s shipping and charging practices with respect to inland services under through bills of lading and demurrage and detention charges and practices, (b) resolve disputes, and (c) dispute invoices, OOCL refused to meaningfully engage in good faith discussions

or change its underlying practices, specifically including the practices and actions described in Section V above.

Compl., ¶ 73. Without any factual material describing OOCL's vessel-space accommodation practices, or any specific attempts at negotiations or communications that occurred, any specific non-transportation factors that played a role in those discussions, or unreasonable rates that OOCL quoted, or any other non-conclusory allegations, there is not enough factual material to carry SEA's claim into the realm of plausibility, and so Count III must be dismissed.

E. Count IV – Noncompliant invoices under 46 U.S.C. § 41104(a)(15)

OOCL seeks dismissal of Count IV to the extent it seeks reparations, arguing that the only remedy provided by 46 U.S.C. § 41104(a)(15) is issuance of a compliant invoice and not reparations, and because it may simply issue corrected invoices. Mot. to Dismiss, pp. 24-25. SEA argues that OOCL has not identified any basis on which to dismiss Count IV. Opp'n to Mot. to Dismiss, pp. 20-21. The statute outlines requirements for detention and demurrage invoices:

(a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--

* * *

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with--

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" (or successor rule); or

* * *

(d) Detention and demurrage invoice information.--

(1) Inaccurate invoice.--If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) Contents of invoice.--An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

* * *

(f) Elimination of charge obligation.--Failure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

46 U.S.C. § 41104. The statute relieves the invoiced party from the obligation to pay if the required information is not included. SEA's complaint alleges that OOCL's detention and demurrage invoices "routinely lacked adequate information to determine the basis for the individual detention and demurrage charges," that OOCL rebilled for charges previously paid, and that at least some of these charges occurred after the effective date of OSRA 2022. Compl., ¶¶ 48, 77. That OOCL may reissue corrected invoices is irrelevant to whether SEA has stated a claim for violation of § 41104. As to the reparations issue, I note that Count IV does not specifically request reparations, so it is unclear what, exactly, OOCL is asking me to dismiss. *See* Compl., pp. 18-19. In any event, SEA has sufficiently stated a claim for violation of 46 U.S.C. § 41104(a)(15).

F. Count V: Unreasonable charges under 46 U.S.C. § 41104(a)(14)

OOCL seeks dismissal of Count V because the complaint does not allege that any particular charges were “assessed” after the effective date of OSRA 2022, June 16, 2022. Mot. to Dismiss, p. 26. SEA argues that the complaint sufficiently alleges that some of the over 4,000 charges were assessed after the effective date of OSRA 2022. Opp’n to Mot. to Dismiss, p. 22. The OSRA 2022 prohibition on unreasonable charges provides:

(a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

* * *

(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations);

46 U.S.C. § 41104(a)(14). While not a model of clarity with respect to the relevant dates, the complaint states enough to reasonably infer that some of the assessments occurred after the effective date. Compl. ¶¶ 53, 77. OOCL’s argument that these incidents were not “assessments” of charges but rather “practices,” “actions,” or “invoicing” related to assessments is a factual dispute and not a basis for dismissal of Count V. Mot. to Dismiss, p. 26.

G. Count VI: Unreasonable practices with respect to dispute resolution under 46 U.S.C. § 41102(c)

In arguing for dismissal of Count VI, OOCL states that it has a published procedure for disputing detention and demurrage invoices, and that SEA did not follow those procedures, in addition to SEA failing to identify a practice. Mot. to Dismiss, pp. 26-27. SEA argues that it has alleged a practice, and regardless of any published procedures, OOCL’s actual practices violate the Shipping Act. Opp’n to Mot. to Dismiss, p. 23. In its interpretive rule, the Commission made clear that dispute-resolution practices are part of the analysis of the reasonableness of a carriers’ detention and demurrage practices:

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

46 C.F.R. § 545.5(d). The Complaint states that when SEA sought information from OOCL about the “dramatically increasing” demurrage and detention charges, OOCL failed to provide documentation or support, refused to mitigate the charges, continued to demand payment and

threatened to refuse release of SEA containers; and OOCL's alleged lack of dispute resolution practices, including its failure to engage in commitments to address disputed charges, forced SEA to pay the disputed charges to have cargo released. Compl. ¶¶ 43-48, 86. As a matter of organization, the allegations supporting Count VI are perhaps better addressed as a subpart of Count I, since §545.5(d) contemplates that dispute-resolution policies and practices are a relevant consideration in determining the overall reasonableness of demurrage and detention practices. Regardless, OOCL's argument that it did have a meaningful dispute resolution procedure, which SEA failed to use, is a factual dispute and not a basis for dismissal.

OOCL also argues that SEA's complaint is related to "settlement negotiations" and not resolution of a dispute about detention and demurrage charges. Mot. to Dismiss, pp. 26-28. As described in the Complaint, SEA's efforts relate to the resolution of disputes over the propriety of detention and demurrage charges, a factor explicitly identified by the Commission as relevant to the reasonableness of practices related to such charges for purposes of claims under § 41102(c). Compl., ¶¶ 45-48, 86; 46 C.F.R. § 545.5(d). It appears that OOCL characterizes SEA's complaint about dispute-resolution procedures as one about settlement negotiations to support its argument that the *Noerr-Pennington* doctrine bars consideration of the claim. Mot. to Dismiss, pp. 27-28. SEA in turn argues that the doctrine is applicable only in the context of antitrust liability. Opp'n to Mot. to Dismiss, pp. 18-19, 23.

Under the *Noerr-Pennington* doctrine – established by *Eastern Railroad Presidents Conference v. Noerr Motor Freight, Inc.*, 365 U.S. 127 (1961), and *United Mine Workers v. Pennington*, 381 U.S. 657 (1965) – defendants are immune from antitrust liability for engaging in conduct (including litigation) aimed at influencing decisionmaking by the government. *Octane Fitness, LLC v. ICON Health & Fitness, Inc.*, 572 U.S. 545, 555-56 (2014). This includes concerted action aimed at influencing the government regardless of intent or purpose, including to engage in anticompetitive regulation. *City of Columbia v. Omni Outdoor Advert., Inc.*, 499 U.S. 365, 379-80 (1991). The doctrine even shields concerted political action that could be characterized as involving deception or unethical. *Noerr*, 365 U.S. at 140-141.

In *Sosa*, cited by OOCL, the Ninth Circuit observed that the Supreme Court had applied the *Noerr-Pennington* doctrine outside the antitrust context. The court held the doctrine protected restaurateurs from an unfair labor charge at the National Labor Relations Board when they filed allegedly retaliatory civil suits seeking to enjoin employees from picketing. *Sosa v. DIRECTV, Inc.*, 437 F.3d 923, 930-31 (9th Cir. 2006) (citing *Bill Johnson's Restaurants, Inc. v. NLRB*, 461 U.S. 731 (1983)). The court concluded that the doctrine broadly applied to the rights protected by the Petition Clause:

[W]e conclude that the *Noerr-Pennington* doctrine stands for a generic rule of statutory construction, applicable to any statutory interpretation that could implicate the rights protected by the Petition Clause. Under the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute clearly provides otherwise.

Id. (citation omitted). OOCL is correct that the doctrine's application is not limited to antitrust cases. OOCL is also correct that it has been applied to situations where a single party (without

joint conduct) petitions the government. *See, e.g., Puerto Rico Tel. Co. v. San Juan Cable LLC*, 874 F.3d 767, 768-69 (1st Cir. 2017) (telecommunications provider shielded from antitrust liability for repeated regulatory petitions seeking to block potential competitor from entering market where petitions were not objectively baseless).

However, none of the cases OOCL cites address the applicability of *Noerr-Pennington* in the precise scenario here – where a respondent is alleged to have engaged in unreasonable dispute-resolution practices as part of a larger pattern of conduct in violation of the Shipping Act (and where those procedures are, by regulation, a relevant consideration). In this context, there is no support for OOCL’s argument that the doctrine bars SEA’s § 41102(c) claims.

H. Pleading Reparations under Rule 62

Finally, OOCL argues that because the complaint does not specifically state an amount of reparations sought, the claim for reparations must be dismissed. *Mot. to Dismiss*, p. 28. Rule 62 requires complainants seeking reparations to set forth in their complaint the amount of their alleged damages:

(4) *Complaints seeking reparation; statute of limitations.* A complaint may seek reparation (money damages) for injury caused by violation of the Shipping Act of 1984. (See subpart O of this part.)

(i) Where reparation is sought, the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages.

46 C.F.R. § 502.62(a). Rule 62 is not a jurisdictional pleading requirement – the Shipping Act requires only that a claim for reparations be filed within three years of the accrual of the claim. 46 U.S.C. § 41301(a). If the complaint is filed within that time, the Commission “shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b). Rule 62 even allows an award of reparations where a complainant has not requested it (in “unusual” circumstances and for good cause). 46 C.F.R. § 502.62(a)(4)(ii). In this case, SEA has filed within the statute of limitations, has requested reparations, and has described the injury caused by the violation. *See Compl.*, ¶ 32, 58. Standing alone, the failure to state a specific dollar value of the requested reparations does not warrant dismissal.

While not jurisdictional, Rule 62 is mandatory, and SEA must amend its complaint to set forth the amount of alleged damages. SEA cites Rule 251 for the proposition that it is not required to plead a specific amount of damages. *Opp’n to Mot. to Dismiss*, pp. 26-27. But Rule 251 governs the presentation of evidence at hearing – it has nothing to do with pleading:

If many shipments or points of origin or destination are involved in a proceeding in which reparation is sought (See § 502.63), the Commission will determine in its decision the issues as to violations, injury to complainant, and right to reparation. If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding

reparation is entered. *In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.*

46 C.F.R. § 502.251 (emphasis added). SEA will therefore be ordered to amend its complaint to specify the amount of damages in compliance with Rule 62. *See* 46 C.F.R. § 502.66(a).

III. Order

Upon consideration of the record, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Respondent's motion to dismiss is **GRANTED IN PART**; it is further

ORDERED that Counts II and III of Complainant's verified complaint are **DISMISSED**; it is further

ORDERED that Complainant file, no later than December 2, 2024, an amended complaint specifying the amount of alleged damages in accordance with Commission Rule 62; it is further

ORDERED that Complainant shall serve the amended complaint directly in accordance with 46 C.F.R. § 502.66(b); it is further

ORDERED that Respondent file an answer to the amended complaint no later than 10 days following service of the amended complaint; and it is further

ORDERED that the joint status report described in the Initial Order will be due no later than 15 days following service of the answer.

ALEX
CHINTELLA

Alex M. Chintella
Administrative Law Judge

Digitally signed by
ALEX CHINTELLA
Date: 2024.11.18
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